

CUSTOMER CHURN ANALYSIS REPORT

Telecom/SaaS Case Study

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1. Executive Summary

The company is experiencing a **26.54% customer churn rate**, with **1,869 customers** churned out of **7,043 total customers**. This is significantly above the industry average of 5-10%. This report identifies **root causes** and provides **data-driven recommendations** to reduce churn.

2. Problem Statement

Business Impact:

- High Churn = Revenue loss + Increased customer acquisition cost
- Customer lifetime value (LTV) is decreasing
- Brand reputation is at risk

Objective:

Understand why churn is increasing and recommend actions to reduce it by at least 40%.

3. Data Overview

Metric	Value
Total Customers	7,043
Churned Customers	1,869
Overall Churn Rate	26.54%
Data Source	Telco Customer Churn Dataset
Key Features Analyzed	Contract, Tenure, PaymentMethod, TechSupport, MonthlyCharges

4. Key Insights

Insight 1 : Contract Type is the #1 Predictor

Contract Type	Churn Rate
Month-to-month	42.7%
One year	11.3%
Two year	2.8%

Finding: Monthly customers are **15x more likely to churn** than 2-year customers.

Insight 2 : First 6 Months are Critical

Tenure	Churn Rate
0-6 months	53.3%
7-12 months	35.9%
12+ months	17.1%

Finding: More than half of all churn happens in the first 6 months.

Insight 3 : Deadly Combination

Segment	Churn Rate	Customer Count
Monthly Contract + New Customer (<6 months)	55.20%	1,413

Finding: This segment is **2x higher** than average churn (26.54%).

Insight 4 : Payment Method Matters

Payment Method	Churn Rate
Electronic check	45.3%
Mailed check	19.1%
Bank transfer (automatic)	16.7%
Credit card (automatic)	15.2%

Finding: Auto-pay customers churn **30% less** than electronic check users.

Insight 5 : Senior Citizens Need Attention

Segment	Churn Rate
Senior Citizens (60+)	41.7%
Non-Senior	23.6%

Finding: Senior citizens are **1.8x more likely to churn**.

Insights 6 : Tech Support is a Retention Tool

Tech Support	Churn Rate
No tech support	41.6%
Has tech support	15.2%

Finding: Tech support reduces churn by **63%**.

Insight 7 : Price Sensitivity

Monthly Charges	Churn Rate
Low (0-30)	9.8%
Medium (30-60)	25.9%
High (60-90)	33.9%
Very High (90+)	32.8%

Finding: Higher charges = Higher churn (but low charges customers are most loyal).

5. Visualizations

Chart 1 : Churn Rate by Contract Types

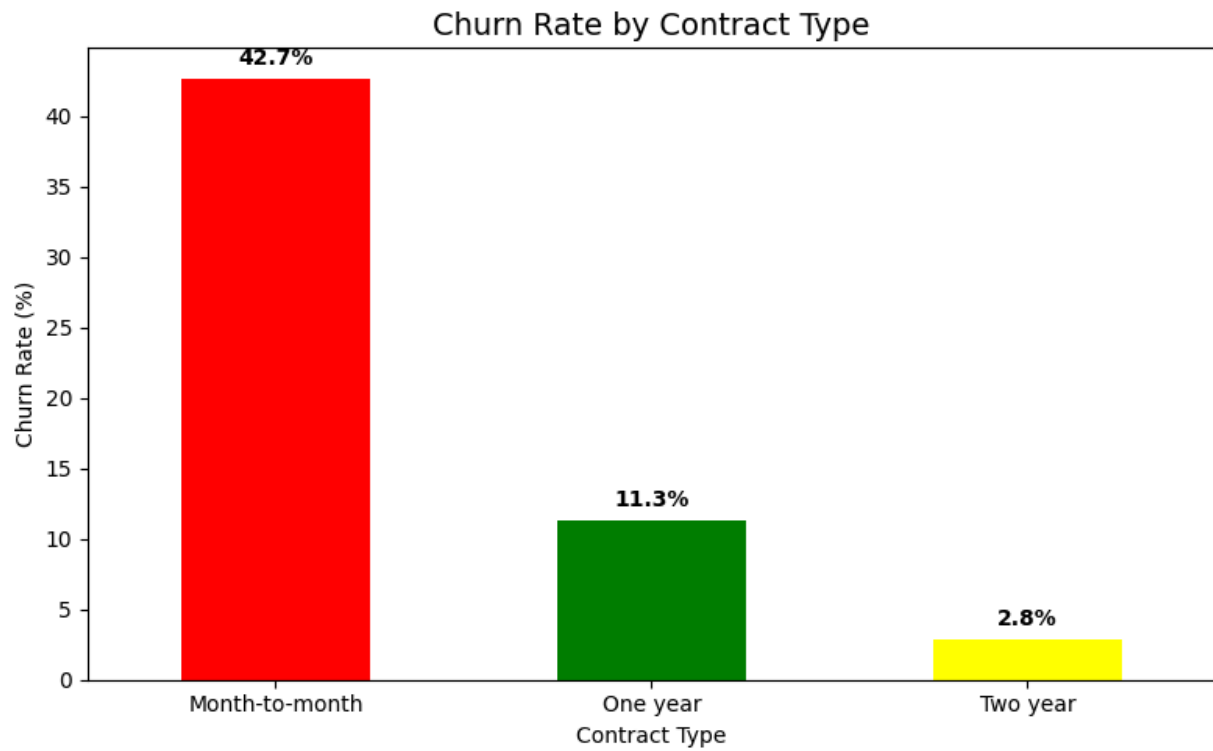


Chart 2 : Churn Rate by Tenure Group

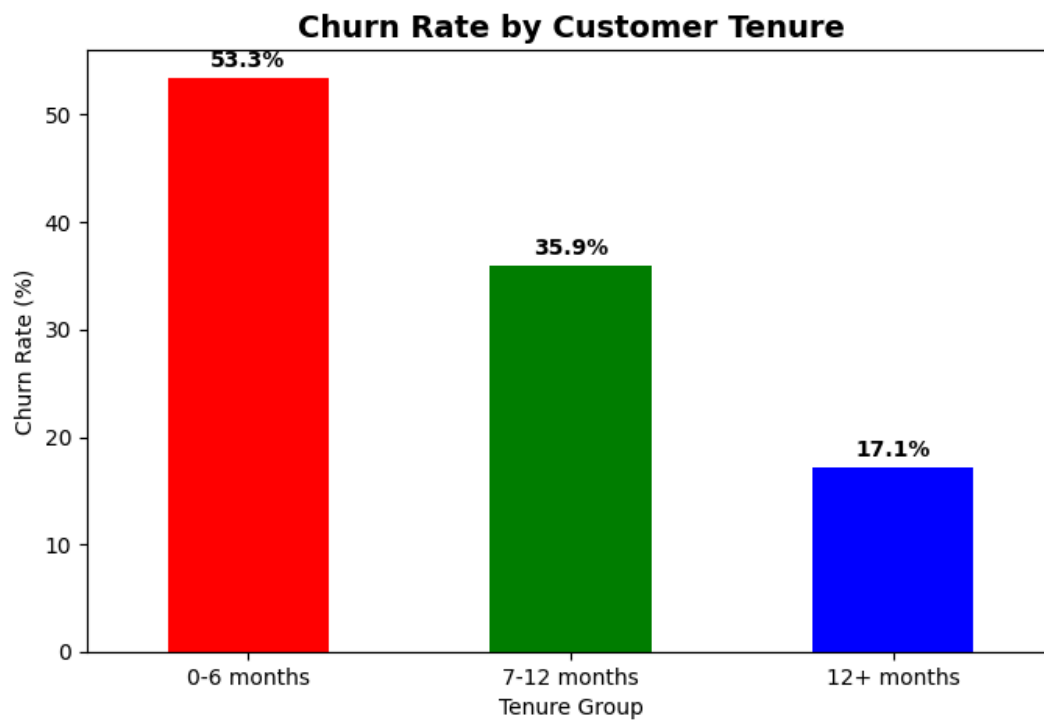
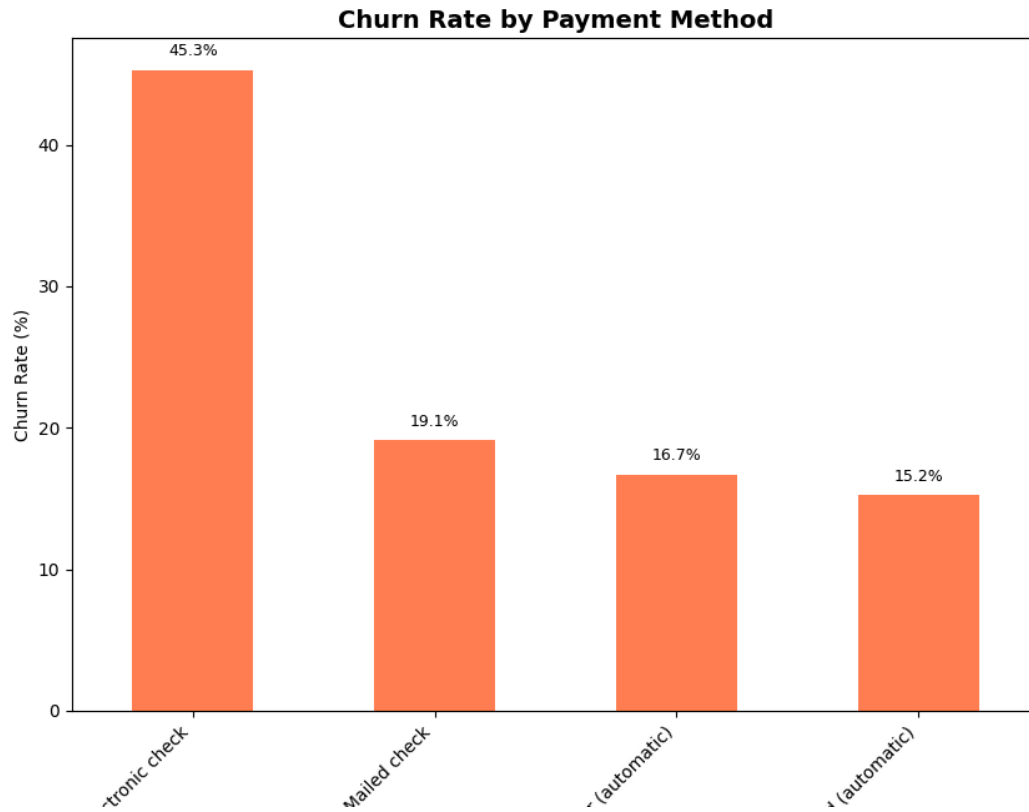


Chart 3 : Churn Rate by Payment Method



6. Recommendations

#	Recommendation	Expected Impact
R1	Annual contract incentive — 15% discount for 1-year commitment	Reduce monthly contract churn from 42.7% → 20%
R2	First 90-day onboarding program — Welcome call, usage tips, check-ins	Reduce early churn from 53.3% → 30%

R3	Auto-pay discount — 5% off for enabling auto-pay	Reduce electronic check churn by 40%
R4	Senior citizen care program — Dedicated support + 10% discount	Reduce senior churn from 41.7% → 25%
R5	Free tech support for first 3 months	Reduce no-support churn by 50%

7. Implementation Roadmap

Timeline	Action
Week 1	Launch auto-pay discount campaign
Week 2	Start senior citizen care program
Week 3	Implement 90-day onboarding sequence
Month 1	Roll out annual contract incentives
Month 2	Launch free tech support trial

8. Expected Business Impact

Metric	Current	Target (90 days)
Overall Churn Rate	26.54%	15-18%
Monthly Contract Churn	42.7%	20-25%
Early Churn (0-6 mo)	53.3%	30-35%
Revenue Saved	-	~30-40%

9. Conclusion

Root Causes Identified:

- Month-to-month contracts (no commitment)
- Poor first 90 days experience
- Electronic check payment (no auto pay)
- No tech support for new customers
- Senior citizens ignored

With the 5 recommendations above, we can reduce churn from **26.54%** to approximately **15-18% within 6 months**.

One Line Takeaway: Convert monthly to annual, fix first 90 days, push auto-pay, and support seniors.

10. Appendix

- **Dataset** : Telco Customer Churn (IBM)
- **Analysis Tools** : Python (Pandas, Matplotlib)
- **Total Rows** : 7,043
- **Total Customers** : 21
- **Analysis Date** : 11 May 2026